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Board diversity and corporate social responsibility versus sustainability development: Evidence from US and Australia

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Abstract

Corporate governance plays a critical role in addressing the interests of domestic and global stakeholders. The board of directors is under pressure to represent the interests of every stakeholder. The purpose of this study is to analyze and compare the impact of board diversity on corporate social responsibility and sustainability in the U.S. and Australian non-financial sectors. In this vein, very first time current study, develop an index score for board diversity and sustainable development for both economies. In addition, the study also examines the influence of gender diversity, cultural diversity and diversity of experience on CSR and sustainable development in the two countries. Sample of non-financial sectors embedded from the S&P 1500 Index and the Australian Stock Exchange (ASX) for the periods 2010 to 2020. Results are estimated based on Panel regression models and dynamic GMM. The results of the study show that, on average, corporate social responsibility and sustainable development in the United States are superior to those in Australia. The ASX Diversity Index score has a significant and positive impact on CSR funds and the Sustainability Index. However, in the USA, the Board Diversity Index only impacts CSR funds. Moreover, directors with diverse cultural background in Australian firms are highly promoting sustainable development than

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US ones. However, cultural diversity on US boards strongly favors CSR practices compared to their Australian counterparts. While the presence of women on the board of directors contributes positively to local CSR activities and has a negative impact on global development in both countries. In addition, the experience of the US Board of Directors has suggested more funding for community development rather than sustainable development. The results of the study make significant contributions to academics and policymakers for U.S. and Australian stock exchanges. To develop CSR practices at the national level and sustainable development at the global level, the American and Australian Security Exchange Commission needs to take initiatives through the deployment of diversified boards of directors. Based on the findings, current study supports the stakeholder theory, Upper Echelon theory and cultural trait theory.

Keywords

Board diversity mechanism; CSR; Sustainability development; Cultural diversity

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Introduction

Responding to the interests of local and international stakeholders has been a significant challenge in the post-COVID environment. Nearly every country has faced COVID-19. Corporate governance has an ethical and moral obligation to deliver on corporate social responsibility and sustainable development (Craig, 1999; Waas et al., 2010). The United Nations has provided approximately seventeen targets to reach sustainable development by 2030 (Boluk et al., 2019). CSR and sustainable development are often used in similar terms, but both have distinct concepts and have been extensively reviewed in previous literature. The concept of CSR is often rooted in stakeholder theory, which states that companies have a moral obligation to work in the interests of customers, investors, local communities and philanthropic practices (Freeman, 1984). Local communities provide a great marketplace, business opportunities and workforce, hence great concerns over the business. Philanthropic practices include charity work and volunteer projects for local community development.

Whereas sustainable development is a global policy aimed at achieving social welfare, environmental protection, green innovation and the maintenance of ecological (P. A. Khan et al., 2022). Due to the intrinsic global vision for sustainable development and CSR practices, organizations operating internationally play a crucial role in meeting their obligations (Levis, 2006; Van den Oever and Beerens, 2021, Van der Waal et al., 2021). The theory of social justice (Scott and Oelofse, 2005) postulated that businesses should emphasize just and equitable community development to protect the interests of all stakeholders. Firms operating in the interest of local stakeholders work through CSR practices (Park and Park, 2016). Ethical labor practices and employee well-beings are in interest of local stakeholders. Funds allocated by corporates in form of donation comes under CSR initiatives (Carroll, 2016; Rela et al., 2020; Tai and Chuang, 2014). Tong and Yan (2013) stated that industrialization in rural areas significantly influences on the environmental aspects. Industrial operations create highly spillover for communities living near the manufacturing plant (Liu et al., 2022). Therefore, the board of Directors should promote local CSR practices to protect plant workers, employees and the community living in the vicinity of manufacturing plants. Corporates should provide medical and educational facilities for their well-being (Mohy-Ud-din et al., 2022). While sustainable development encompasses global challenges facing communities, including environmental degradation, climate change, inequality and poverty (S. Khan et al., 2022). In addition, human well-being, clean water, green innovation and sustainable communities are also among the Sustainable Development Goals (SDGs) (Ehigiamusoe et al., 2022). The SDGs seek to balance environmental and social development through international collaborations between countries, stakeholders and industry leaders (Zhou and Etzkowitz, 2021). The main difference between CSR and sustainable development is that CSR is a voluntary initiative taken by the corporations to protect local stakeholders, while sustainable development is a broader concept that encompasses the societal and environmental impact at the global level (Adams and Abhayawansa, 2022; He and Harris, 2020).

Board diversity refers to the inclusion of board members from companies with diverse skills, knowledge, experience, cultural backgrounds and nationalities (Van der Walt and Ingley, 2003). A diverse board is well equipped for effective decision-making, problem-solving and better risk management in terms of local and global perspectives (Hagendorff and Keasey, 2012). Consequently, they

have extensive knowledge and expertise in the interests of local and global stakeholders. Diversity in the board of directors and senior management team is more likely to be involved in sustainable development (Naciti, 2019). Moreover, national and global support for community and sustainable development based on board diversity (Khatib et al., 2021).

Corporate social responsibility practices and reporting are now becoming important and critical at the global and national levels (Wang et al., 2016). Academics and practitioners recognize that the growth of the corporate sector is unable to judge by economic success alone (Mirza and Ahsan, 2020). Because now a global economy awaits the input of multinationals as well as Reconciling and balancing the interests of local and international stakeholders (Adams et al., 2019; Gunnigle et al., 2019). Despite its importance, current research on CSR practices has shown that the quality and volume of CSR in Australia remain low (Chen and Bouvain, 2009). Hence it requires to elaborate the major reasons which creating barriers in the Australian corporate governance from the engagement CSR activities (Alizadeh, 2022). However, the SDGs are part of global practices and required strategies and actions to transcend international borders (Van den Oever and Beerens, 2021, Van der Waal et al., 2021). MNCs are subject to more scrutiny from domestic stakeholders who make sustainable business investments, pay taxes, and exploiting by factory and plant operations (Kolk, 2016). As a result of scrutiny and increased stakeholder exposure, corporate directors in the U.S. have improved SDG practices and aligned them with community development, helping to clarify the importance of MNCs (Correa-Garcia et al., 2020; Wang et al., 2022). Multinational enterprises (MNCs) have diverse knowledge and ideas about sustainable business practices and are seen as the central players in overcoming the international challenge of the SDG framework. (Soundararajan et al., 2021). That is why sustainable development is important internationally in comparison to the national level. For this purpose, current study tries to investigate both national (CSR) and global practices (SDGs) for both US and Australia. Hence, current investigation aims to respond the question of whether the board, diversity mechanism based on the proportion of women directors, cultural diversity, experienced directors and diversity index adds value. A study found that diverse boards improve CSR practices (Yarram and Adapa, 2021) and global sustainability (Zaid et al., 2020). However, according to the Yermack (1996) larger board diversity in a

corporate sector destroys the firm value, because of the cost incurred in decision-makings and agency conflicts.

This study aims to test the generalizability of the results by integrating samples of companies from the USA and Australia. The selection of the sample of the US and Australian companies is based on numerous similarities and key features of the two countries. The Australian government's legal and social framework originates from the US (Higley and Moore, 1981). Regulators in the United States and Australia are closely aligned (Hodne et al., 2013). In addition to cultural acceptance, Australian companies adopt American policies for the remuneration and awards of directors. Corporate governance requirements with respect to the disclosure of director salaries in Australian companies are similar to those in the United States (Zhou, 1999). Companies listed in both countries report on board remuneration with key positions from past years (Hill et al., 2011). Moreover, both countries tend to appoint board with similar professional backgrounds, ethnic groups age and gender. "Say on Pay" from Australian firms also similar to the United States (Rampling, 2015). In addition, the corporate sector in both countries follows the CSR, environment, society and governance guidelines provided by the GRI and the UN Global Compact. (Gonzalez-Perez and Leonard, 2015; Mougnot and Doussoulin, 2023). Despite similarities, substantial differences still exist in both countries. Companies listed on the Australian Stock Exchange are smaller boards that attribute the low market capitalization of ASX listed companies (Ting et al., 2018; Vafaei et al., 2020). Therefore, it is unclear how board diversity contributes to CSR practices and global sustainability if the smaller board is associated with reducing the company's value. According to the board's diversity index, report given by Spencer Stuart (2021) portion of women directors in a new class of S&P 500 index reduced by 43% from 47% in the last year. Today, all S&P 500 companies have 30% women as directors. In addition, 21% of the S & P 500 index contains black African Americans, American Indians or multiracial, Hispanic Asians, against 42 percent of the population of the United States. However, according to Minter Ellison's (2021) Board Diversity Index report, there has been a significant improvement in the diversity of women on the ASX Board of Directors. Current trends indicate that distinction will be extinct up to 2026 and gender parity in Australian Corporate Board will attain by 2030. However, cultural diversity still lags in ASX listed firms. In addition, 18 percent directors,

representatives from non-European background decreased by 3 percent in the last year.

Previous research has concentrated on individual sustainable development goals rather than on its depth and comprehensive review. For example, a study focus on the contribution of global firms in the achievement of gender equality (SGD5) (Wang et al., 2020). Moreover, very few studies are available on corporate governance obligations serving a local and global interest. CSR practices most continued by MNCs at local and national level (Gifford et al., 2010; Hafsi and Turgut, 2013). However, the Sustainable Development Goals were meant to transcend business boundaries, requiring a lot of attention from senior management teams (Moyer and Hedden, 2020).

Indeed, diverse boards have extensive industry experience, knowledge and expertise with respect to social and environmental regulations. Therefore, the central and primary objective of the study is to improve stakeholder interest in deploying boards of directors with diverse genders, experiences and cultural backgrounds. For this purpose, very first time current study address the CSR practices (local stakeholder) and sustainable development (international stakeholder) through diverse board mechanism. The research will contribute to the emerging literature by exploring corporate board in the US and Australian firms are more likely to involve in both CSR and sustainable development practices or either of them. In response to stakeholder interest study constructed an index of board diversity and sustainability development. The inclusion of too many board characteristics creates the problem of multicollinearity and specification error, hence the current study constructed single variable to attain research objectives. In particular, the current study addresses the following research questions: How does a board diversity mechanism protect local (corporate social responsibility) and global (sustainable development) stakeholders? Is there any relation between gender diversity, cultural diversity and diversity of experience with CSR and sustainability? US and Australian corporate directors support national (CSR) or global development (SDGS) or both.

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Literature review and hypotheses development

Board diversity refers to inclusion of corporate directors from various cultural backgrounds, nationalities, experiences and skills (Kakabadse et al., 2018; Van der Walt and Ingley, 2003). Diversity also includes educational and professional background of the directors (Ferreira, 2010). Agency conflict is the crucial challenge in social performance context because not only managers but all stakeholders have deep interest in social and environmental performance (Huang et al., 2022; Hussaini et ...

Data and methodology

This study used panel data from 585 companies over the 11-year period of 2010–2020. For this purpose, 285 companies were selected in the USA, while 300 were chosen by ASX. Data used in the current study gathered from the Eikon profession data stream portal. The corporate sector includes various market segments by incorporating large, medium and small enterprises. These companies provide excellent opportunities for investors across a wide range of industries. However, financial corporations were ...

Results and findings

Table 3 explains the mean, standard deviation and two samples *t*-test among focused and dependent variables. The results estimated for the 11 years, followed by 586 cross sections. Results based on the independent sample *t*-test reveals that there is a significant difference between US and Australian board diversity mechanism. Results show that Australian firms are better performing in terms of corporate

social responsibility and sustainability than US ones, which can attributed to superior ...

Conclusions

The main objective of this study is to explain the impact of the board diversity mechanism on CSR practices and sustainability performance in US and Australian listed firms. Current investigation rely on the panel data obtained from the Eikon Data Stream for companies included in the S&P 1500 and ASX for the period 2010 to 2020. For this purpose, 286 companies were selected based on the S&P 1500 Index, while 300 companies were chosen from the Australian Stock Exchange (ASX). In order to achieve ...

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CRedit authorship contribution statement

Kamran Mohy-ud-Din: Conceptualization, Data collection, Methodology, Software, Writing – original draft, Corrections and Editing. ...

Declaration of competing interest

Author has no conflict of interest. ...

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Mohy-Ud-Din K.

Innovation and Green Development • Volume 3 • 2024 • Article 100161

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...The diverse knowledge and skills of boards rooms contribute to the optimization of CSR practices (Brinette et al., 2023; Manita et al., 2018; Romano et al., 2020). Corporate directors with diverse backgrounds and experience enable businesses to adopt green practices in environmental and social activities, indirectly stimulating green innovation (Abreu et al., 2022; Mohy-ud-Din, 2023). On the board, diversity is the key indicator of corporate performance (Aggarwal et al., 2019; Mohsni et al., 2021; Song et al., 2020)....

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Yan J., ..., Liao X.

Journal of Cleaner Production • Volume 437 • 2024 • Article 140614

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...This study explored the influencing factors of ESG performance from the perspective of the personal characteristics of executives and therefore enriches the literature on ESG influencing factors. Further, this study examined the role of female executives in corporate sustainability in response to the current call for research on the impact of executive personal characteristics on corporate sustainability (Hrazdil et al., 2021; Hussain et al., 2022; Mohy-ud-Din, 2023). The following practical implications are provided from three dimensions: government regulatory departments, enterprises, and female executives....

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...Nevertheless, a mix of cultural, social, economic or national political conditions have been the main obstacles to the perfecting of appropriate cultural policies in developing countries. In other words, these reasons, such as persistent inequalities in global cultural trade (Flew, 2012 after Kaymas, 2019), internal political upheaval or, in general, those industries that are not considered important economic actors for decision-makers in developing countries, may prevent the improvement of appropriate cultural policies, especially for developing country decision-makers (UNCTAD, 2004; Schultz and van Gelder, 2008; Flew, 2012; Chang, 2018; Oyekunle and Sirayi, 2018 after Kaymas, 2019; Ebolor et al., 2022; Mohy-ud-Din, 2023). Therefore, in consideration of the studies of various authors and the importance of culture industries in the economic development of regions, the research was directed towards the linkages between culture industries and SD (Titan et al., 2008; Keser, 2016; Zhou et al., 2020)....

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